Sai Life Sciences Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Hyderabad contract research, development and manufacturing company (a CRDMO) for drug innovators. Its CRO side does discovery chemistry, biology and DMPK work for biotech and pharma clients; its CDMO side develops and makes the active ingredients for drugs in trials and on the market, at plants in Hyderabad and Bidar plus sites in Manchester and Boston. Over 300 clients include 19 of the top 25 global pharma companies.

Number	Value	What it means
Market cap	Rs 40,788 cr	What the market values the whole company at (Screener).
FY26 revenue	Rs 2,153 cr	Sales for the year, up 31% on FY25 (management cites 29% on its own basis), well above its 15-20% long-term aim.
FY26 EBITDA margin	28%	Operating profit per Rs 100 of sales, up from 24% in FY25 and 14% in FY23. It has reached the 28-30% range management targets.
Q2 FY27 revenue	Rs 659 cr	July to September 2026 sales (company figure), up 23% on last year; profit after tax Rs 98 cr, up 17%.
Q2 FY27 EBITDA margin	28%	Down a touch from 29% a year ago, as new capacity and hiring add cost ahead of revenue.
P/E	109x	The price is over a hundred years of current earnings: the market already prices in many years of fast growth.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY25 (first call after Dec 2024 listing)	Feb 2025	Yes (key passages)
Q4 FY25	21 May 2025	Yes (key passages)
Q1 FY26	8 Aug 2025	Yes (key passages), from the company IR site
Q2 FY26	Nov 2025	Yes (key passages), from the company IR site
Q3 FY26	Feb 2026	Yes (key passages), from the company IR site
Q4 FY26	15 May 2026	Yes (key passages), from the company IR site
Q1 FY27	7 Aug 2026	Yes, read in full
Q2 FY27	6 Nov 2026	Transcript not yet filed (only the presentation and audio recording are out). Investor presentation of 5 Nov 2026 read in full ★

Seven calls across about two years, since the December 2024 listing. Four transcripts Screener couldn't download were taken from the company's own financial-information page. The Q2 FY27 transcript is not yet published, so the latest read comes from that quarter's investor presentation.

Latest update highlights: Q2 FY27 investor presentation (5 Nov 2026)

- Revenue Rs 659 cr, up 23% on last year; EBITDA Rs 187 cr, up 20%, margin 28%; profit Rs 98 cr, up 17%. CDMO (manufacturing) was 64% of revenue, CRO (research) 36%. Capacity utilisation 67%.
- The first end-to-end integrated collaboration with a large pharma, signed last quarter, has started and should be fully running in Q3. A second large pharma relationship was converted into a similar strategic deal, and talks are on with a few more.

- One molecule added to the late-phase pipeline and one moved from late phase to commercial.
- Capex of Rs 621 cr in H1 FY27 (Rs 358 cr in Q2), on track for the Rs 1,100-1,300 cr full-year plan. The CFO repeated that the second half should be stronger as new capacity ramps up.
- Tone: confident. The CEO says customer engagements are growing from single projects into bigger relationships across discovery, development and manufacturing.

Business mix & capacity

Domestic vs export: Mostly export: clients are global drug companies in the US, UK, EU and Japan. A domestic/export split isn't given. Business mix Q2 FY27: CDMO 64% / CRO 36%; long-term guide is about two-thirds CDMO, one-third CRO.

Capacity use: 67% utilisation in Q2 FY27. Installed reactor capacity is being scaled from about 700 KL to 1,150 KL by the end of FY27 (stated Nov 2025), with two new production blocks at Bidar and a greenfield site near Hyderabad planned for peptide manufacturing from 2028.

3. Earning Trigger thesis

The trigger is large pharma handing Sai bigger, longer, integrated contracts (dedicated scientist teams that run a molecule from discovery to manufacturing), backed by a big capacity build-out. Pharma companies making India a bigger part of their supplier diversification helps. Growth is already in the numbers: FY26 sales grew about 30% and margins reached the 28-30% target. The price assumes a lot.

Trigger	What management said	Evidence so far	Time horizon	Strength
Integrated large-pharma partnerships	Aim to move at least two large pharma clients to integrated models this year	First one started; a second converted in Q2 FY27	FY27-FY28	Strong: already happening
Capacity build-out (700 to 1,150 KL, new R&D and peptide blocks)	Rs 1,100-1,300 cr capex in FY27; stronger H2	Rs 621 cr spent in H1, on track	H2 FY27 onward	Moderate: cost comes before revenue
Late-phase and commercial pipeline	Molecules from FTE relationships moving to late phase	Six late-phase molecules added in 15 months; one moved to commercial in Q2	2-3 years	Moderate: lumpy by nature

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Not discussed.
New business	Yes	Entering formulation and building peptide, XDC (conjugates) and flow-chemistry capabilities (Aug 2026).
Margin up	No	Q2 FY27 margin 28% vs 29% a year ago; management targets holding 28-30%, not expanding.
New management	No	Same MD & CEO and CFO across the period.
New capacity	Yes	Scaling installed capacity from about 700 KL to 1,150 KL by end of FY27 (Nov 2025); new capacity comes on stream in H2 FY27 (May and Aug 2026).
Big orders	Yes	First end-to-end integrated large pharma collaboration started; another large pharma converted to a similar engagement (Nov 2026 presentation).
Turnaround	No	No loss or recovery story.
Promoter buying	No	Not discussed.

The single concrete driver: Large pharma companies are moving to integrated, multi-year contracts with Sai, with new capacity coming on stream from the second half of FY27.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb 2025	Long-term 15-20% growth, margins improving	FY26 revenue up about 30%, EBITDA margin up to 28%	Delivered
May 2025	Move toward 28-30% EBITDA margin	28% for FY26; 34% in Q3 FY26	Delivered
Nov 2025	FY26 capex about Rs 700 cr; capacity to 1,150 KL by end FY27	H1 FY26 capex was Rs 248 cr; FY27 plan raised to Rs 1,100-1,300 cr, H1 FY27 on track	Too early
Feb 2026	Unit 8 R&D in Q4 FY26; process R&D and peptide pilot by Sep 2026	Not confirmed in the Q2 FY27 presentation	Too early
May 2026	H2 FY27 stronger than H1	H1 FY27 sales up 17%; Q2 up 23% on Q1's 12%	On track
Aug 2026	Convert at least two large pharma clients to integrated models this year	Two done by Q2 FY27	Delivered

Narrative drift: The story has stayed steady since listing: integrated CRDMO, large pharma, new modalities, measured guidance (no yearly number, just 15-20% growth and 28-30% margins over three years). Management has beaten its own long-term pace. The one recurring caution is lumpy quarters, which it flags itself.

5. Bottom line

Durable earning trigger? → YES

Bigger integrated contracts with large pharma and a large capacity build-out are a concrete, named driver, already showing in about 30% FY26 growth and 23% in Q2 FY27. The risk is the price, and that new capacity adds cost before it adds sales.

Management consistent? → YES

Management set modest long-term goals and has met or beaten them, and the integrated-deal target for this year is already met. Quarters are lumpy, which it says openly. Some R&D facility dates from February 2026 aren't yet confirmed.

6. Checkpoints for next quarter

- December quarter sales grow faster than the September quarter
- EBITDA margin stays within the 28-30% range
- Capex stays on track for the full-year plan

This is not investment advice. Do your own due diligence.